

## DAEN/ISEN 427 Fall 2025 Homework assignment: Prospect Theory

Due: Tue Nov 11 9:35 AM

**Instructions:** Read the four scenarios below. Choose **one** that you relate to most. Answer the questions on the next page. Write in bullet points or full sentences.

### Scenarios

- Exam Scores** You expected to score 90% on an exam but got 85%. Even though 85% is objectively a good grade, you feel disappointed. *Outcomes feel like gains or losses compared to a reference point (your expectation), and losses feel especially bad.*
- Tuition Payment Deadline** The school says:
  - "Pay early and you get a \$100 scholarship." (gain frame)
  - "Pay late and you pay a \$100 fee." (loss frame)

These are financially equivalent, but you feel way more motivated to avoid the late fee than to chase the scholarship. *The same outcome can be framed as a gain or a loss, and people are more sensitive to avoiding losses than getting gains.*
- Coffee Rewards Card** A campus coffee shop gives you a punch card: 10 punches = 1 free drink. Your card already starts with 2 punches filled in. You suddenly feel motivated to "finish what you've started" and get the free drink. *Once you feel like you "own" part of a reward, not finishing feels like a loss.*
- Basketball Game** Your intramural team is losing by 10 points with 5 minutes left. The team starts taking more risky 3-point shots instead of safer 2-point plays. *When you're already in the "loss" domain, you're more willing to take risks to avoid ending with a loss.*

### Rubric

|                                                | 2 Points (Excellent)                                                                         | 1 Point (Adequate)                                                       | 0 Points (Needs Improvement)                                   |
|------------------------------------------------|----------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|----------------------------------------------------------------|
| <b>Q1. Description</b>                         | Clearly and accurately describes the scenario; identifies the decision and emotion involved. | Provides a basic description but lacks detail or emotional insight.      | Unclear or missing description of the scenario.                |
| <b>Q2. Concepts</b>                            | Correctly identifies and explains relevant concepts with clear reasoning.                    | Identifies some correct concepts but explanation is vague or incomplete. | Incorrect or missing concepts with little or no reasoning.     |
| <b>Q3. Language</b>                            | Effectively uses key terms (e.g., reference point, gain/loss, framing) to explain behavior.  | Uses some theory language but with limited accuracy or depth.            | Little or no use of theory language; misunderstanding evident. |
| <b>Q4. Reflection</b>                          | Provides a thoughtful personal example showing similar decision-making or bias.              | Mentions a personal example but with limited reflection or connection.   | No personal example or unclear connection.                     |
| <b>Q5. Application / Influence on behavior</b> | Clearly explains how insights could be applied to influence behavior with a good example.    | Provides a general or partially relevant application example.            | No clear application or example provided.                      |

Name: \_\_\_\_\_

Points (out of 10): \_\_\_\_\_

## Questions

Which scenario did you choose?

1   2   3   4

1. **Describe what is happening in your own words.** What decision is being made, or what emotion is being felt?

2. **Which Prospect Theory concept(s) does this scenario illustrate?**

- Reference dependence
- Loss aversion
- Diminishing sensitivity
- Probability weighting
- Risk seeking in losses
- Framing effect
- Endowment effect

Why did you pick those?

3. **Explain the behavior using Prospect Theory language.** What is the person's "reference point"? Why does the outcome feel like a gain or a loss? Why does it feel *big*?

4. **Would you behave the same way? Why or why not?** Give a real example from your own life that shows similar thinking.

5. **How could someone use this insight to influence behavior?** For example: a university administrator, a coach, a marketer, a company, etc.